Eternal Ltd.

Sector: Internet & Catalogue Retail

29th July, 2025

Key Changes

Target	Rating	Earnings
●	●	●

Target	**Rs. 337**
CMP	**Rs. 306**
Return	**+10%**

Stock Type **N/A** Bloomberg Code **N/A** Sensex **N/A** NSE Code **N/A** BSE Code **N/A** Time Frame **12 Months**

HOLD

Blinkit propels growth; valuation limits upside

Eternal Limited, formerly Zomato Limited, operates as an online food delivery company. It runs a B2C platform under the Zomato brand. The company also operates Hyperpure and Blinkit, organises events, provides payment services and engages in investment activities.

- Consolidated revenue from operations surged 70.4% YoY in Q1FY26 to Rs. 7,167cr as all segments demonstrated robust growth.
- Revenue from the quick commerce business soared 154.8% YoY to Rs. 2,400cr, while the Hyperpure supplies and India food ordering and delivery segment grew 89.4% and 16.4% YoY, respectively.
- Net order value (NOV) of B2C businesses rose 55% YoY to Rs. 20,183cr in Q1FY26, with quick commerce NOV exceeding food delivery NOV for the first time.
- EBITDA fell 35.0% YoY to Rs. 115cr in Q1FY26, mainly due to higher operating expenses; consequently EBITDA margin declined 260bps to 1.6%.
- Reported PAT plunged 90.1% YoY to Rs. 25cr in Q1FY26 because of lower EBITDA.
- Blinkit added 243 new stores in Q1FY26, taking the total to 1,544 stores, and aims to hit 2,000 stores by December 2025.

Outlook & Valuation

Eternal Limited is poised for long-term growth and improved profitability, driven by its strong market position and growth prospects in the quick commerce business (QCB). The company's focus on inventory ownership and margin improvement is expected to drive profitability. Although the industry outlook remains competitive, the company's strategy and long-term growth objectives, along with its strong management team, are expected to drive future growth. However, the stock's significant run-up in price and rich valuations limit the upside potential from current levels. Therefore, we downgrade our rating on the stock to HOLD from BUY with a revised target price of Rs. 337, based on 6x FY27 price/sales.

Quarterly Financials Consolidated

Rs.cr	Q1FY26	Q1FY25	YoY Growth (%)	Q4FY25	QoQ Growth (%)
Sales	7,167	4,206	70.4	5,833	22.9
EBITDA	115	177	-35	72	59.7
Margin (%)	*1.6*	*4.2*	*-2.6*	*1.2*	*0.4*
EBIT	-199	28	-810.7	-215	7.4
PBT	88	239	-63.2	97	-9.3
Rep. PAT	25	253	-90.1	39	-35.9
Adj PAT	25	253	-90.1	39	-35.9
Adj. EPS (Rs)	0.0	0.3	-90.1	0.0	-35.9

Company Data

Market Cap (Rs.cr)	295,735
52 Week High — Low (Rs.)	314 - 190
Enterprise Value (Rs. cr)	294,166
Outstanding Shares (cr)	965
Free Float (%)	71.9
Dividend Yield (%)	-
6m average volume (cr)	N/A
Beta	1
Face value (Rs.)	1

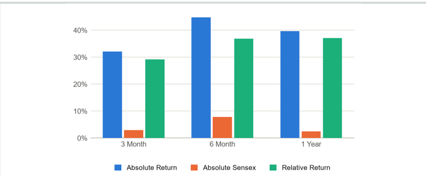
Shareholding (%)

	Q3FY25	Q4FY25	Q1FY26
Promoters	0	0	0
FII's	47.3	44.4	42.3
MFs/ Institutions	20.5	23.6	26.6
Public	8	8.5	7.6
Others	24.1	23.6	23.5
Total	**100**	**100**	**100**
Promoter Pledge	N/A	N/A	N/A

Price Performance

	3 Month	6 Month	1 Year
Absolute Return	32.1	44.8	39.7
Absolute Sensex	3	7.9	2.5
Relative Return	29.2	36.9	37.1

*over or under performance to benchmark index

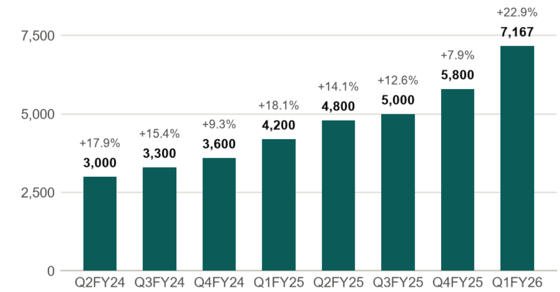


Y.E March (cr)	FY25A	FY26E	FY27E
Sales	20,243	35,020	54,632
Growth (%)	67.1	73	56
EBITDA	637	1,248	3,575
EBITDA Margin (%)	3.1	3.6	6.5
PAT Adjusted	527	927	2,643
Growth (%)	50.1	75.9	185.2
Adjusted EPS	0.6	1	2.7
Growth (%)	46.3	60.1	185.2
P/E	335.8	325.2	114.1
P/B	6.4	9.6	8.9
EV/EBITDA	302.2	240.3	84
ROE (%)	1.7	3	7.8
D/E	0.1	0.1	0.1

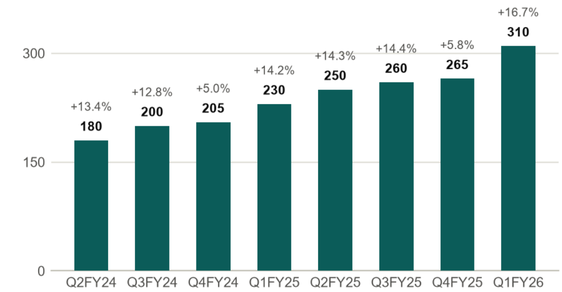
Key highlights

- NOV growth in food delivery edged lower to 13% YoY in Q1FY26 from 14% in the previous quarter. The growth trajectory of NOV is expected to stabilise after seeing a downturn in late 2024. For FY26, a growth rate exceeding 15% is anticipated, with a potential upward trend towards 20% in FY27.
- Margins of the food delivery business declined QoQ despite expanding YoY, due to lower availability of delivery partners on account of festivals and adverse weather conditions, which is a seasonal impact that occurs every year in Q1.
- The long-term profitability of the Blinkit business is not a concern, as a significant portion of the business is already generating profits, with certain cities achieving an impressive 2.5%+ adjusted EBITDA margin (as a percentage of NOV). The early achievement of such margin is a strong indication of the feasibility of the company's long-term guidance of a 5-6% margin.
- The Blinkit business witnessed a remarkable 127% YoY growth in NOV, driven by a significant 123% increase in average monthly transacting customers. The company's profitability also improved, despite ongoing investments in new store roll-outs and seasonal factors.
- The company is transitioning its quick commerce business from a marketplace model to inventory ownership over the next 2-3 quarters, anticipating a 1 percentage point margin expansion as a result, while also expecting shrinkage in Hyperpure's non-restaurant business as most B2B buyers in Hyperpure's non-restaurant business were sellers on the quick commerce platform.

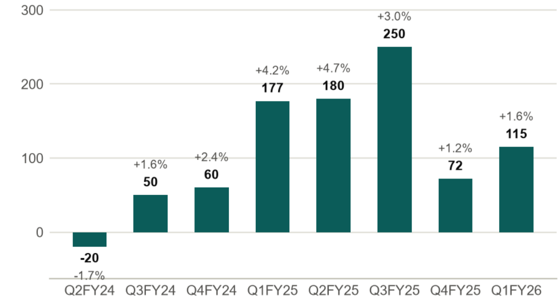
Revenue



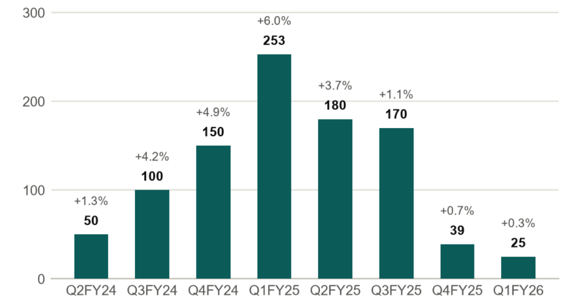
Gross Order Value



EBITDA



PAT



Change in Estimates

Year / Rs cr	Old estimates		New estimates		Change (%)	
	N/A	N/A	N/A	N/A	N/A	N/A

Consolidated Financials

Profit & Loss

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Sales	7,079	12,114	20,243	35,020	54,632
EBITDA	-1,210	42	637	1,248	3,575
Depreciation	437	526	863	1,233	1,372
EBIT	-1,647	-484	-226	16	2,203
Interest	49	72	154	181	208
Other Income	681	847	1,077	1,401	1,530
PBT	-1,015	291	697	1,236	3,524
Tax	44	60	-170	309	881
Tax Rate (%)	-4.3	20.6	-24.4	25	25
Reported PAT	-971	351	527	927	2,643
PAT att. to common shareholders	-971	351	527	927	2,643
Adj. PAT	-971	351	527	927	2,643
No. of shares (cr)	855.4	882	965	965	965
Adj EPS (Rs.)	-1.2	0.4	0.6	1	2.7

Balance Sheet

Y.E March (Rs. Cr)	FY23A	FY24A	FY25A	FY26E	FY27E
Cash	1,017	731	3,614	3,203	3,155
Accts. Receivable	457	794	1,946	3,309	4,971
Inventories	83	88	176	350	511
Other Cur. Assets	9,274	3,845	5,965	6,227	6,566
Investments	2,280	10,365	10,920	12,012	13,814
Gross Fixed Assets	363	529	1,460	2,511	3,740
Net Fixed Assets	636	977	2,883	3,063	3,198
CWIP	7	18	51	56	62
Intangible Assets	5,708	5,471	6,649	6,569	6,888
Other Assets	2,137	1,067	3,419	3,556	3,700
Total Assets	21,599	23,356	35,623	38,346	42,866
Current Liabilities	1,406	2,083	3,326	5,022	6,791
Provisions	94	88	120	138	159
Debt Funds	392	588	1,654	1,737	1,824
Other Liabilities	254	191	213	213	213
Equity Capital	836	868	907	907	907
Res. & Surplus	18,624	19,545	29,410	30,337	32,980
Shareholder Funds	19,460	20,413	30,317	31,244	33,887
Minority Interest	-7	-7	-7	-7	-7
Total Liabilities	21,599	23,356	35,623	38,346	42,866
BVPS	23	23	31	32	35

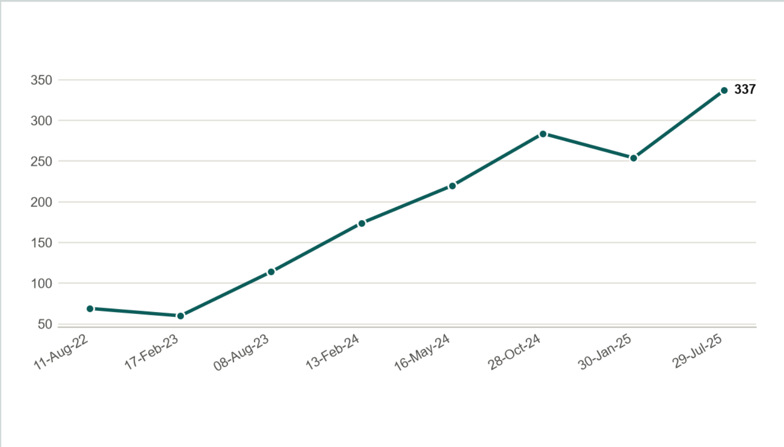
Cashflow

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
Net inc. + Depn.	-520	836	1,390	2,160	4,015
Non-cash adj.	-7	-48	-506	-1,803	-2,925
Changes in W.C	-317	-142	-576	89	-134
C.F. Operation	-844	646	308	445	956
Capital exp.	-101	-202	-931	-1,051	-1,229
Change in inv.	179	4,073	-5,941	-68	-70
Other invest.CF	379	-4,218	-1,121	181	208
C.F - Investment	457	-347	-7,993	-938	-1,091
Issue of equity	4	23	8,501	N/A	N/A
Issue/repay debt	-23	-40	N/A	83	87
Other finance.CF	-108	-190	-459	N/A	N/A
C.F - Finance	-127	-207	8,042	83	87
Chg. in cash	-514	92	357	-411	-48
Closing Cash	1,017	731	3,614	3,203	3,155

Ratio

Y.E March	FY23A	FY24A	FY25A	FY26E	FY27E
EBITDA margin (%)	-17.1	0.3	3.1	3.6	6.5
EBIT margin (%)	-23.3	-4	-1.1	0	4
Net profit mgn.(%)	-13.7	2.9	2.6	2.6	4.8
ROE (%)	-5	1.7	1.7	3	7.8
ROCE (%)	-8.3	-2.3	-0.7	0	6.2
Receivables (days)	23.6	23.9	35.1	34.5	33.2
Inventory (days)	21.7	11.1	11.5	11.3	11
Payables (days)	177.7	112.2	100.7	102.2	104.6
Current ratio (x)	7.5	2.6	3.5	2.6	2.2
Quick ratio (x)	4.1	1.3	2.4	1.8	1.6
Gross asset T.O (x)	28.2	27.2	20.4	17.6	17.5
Total asset T.O (x)	0.4	0.5	0.7	0.9	1.3
Int. covge. ratio (x)	-33.6	-6.7	-1.5	0.1	10.6
Adj. debt/equity (x)	0	0	0.1	0.1	0.1
EV/Sales (x)	6.1	13.3	9.5	8.6	5.5
EV/EBITDA (x)	N/A	3,825.7	302.2	240.3	84
P/E (x)	N/A	444.8	335.8	325.2	114.1
P/BV (x)	2.2	7.9	6.4	9.6	8.9

Recommendation Summary - (last 3 years)



Dates	Rating	Target
11-Aug-22	BUY	69
17-Feb-23	BUY	60
08-Aug-23	BUY	114
13-Feb-24	BUY	174
16-May-24	BUY	220
28-Oct-24	BUY	284
30-Jan-25	BUY	254
29-Jul-25	HOLD	337

Investment Rating Criteria

Ratings	Large caps	Midcaps	Small Caps
Buy	Upside is above 10%	Upside is above 15%	Upside is above 20%
Accumulate	-	Upside is between 10%-15%	Upside is between 10%-20%
Hold	Upside is between 0% - 10%	Upside is between 0%-10%	Upside is between 0%-10%
Reduce/sell	Downside is more than 0%	Downside is more than 0%	Downside is more than 0%

Not rated/Neutral
To satisfy regulatory requirements, we attribute 'Accumulate' as Buy and 'Reduce' as Sell.

The recommendations are based on 12 month horizon, unless otherwise specified. The investment ratings are on absolute positive/negative return basis. It is possible that due to volatile price fluctuation in the near to medium term, there could be a temporary mismatch to rating.

● Upgrade ● No Change ● Downgrade

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GRIEVANCES

Step 1: The client should first contact the RA using the details on its website or following contact details: Compliance officer: Ms. Indu K.. Address: 7th Floor, 34/659-P, Civil Line Road, Padivattom, Ernakulam; Phone: +91 484-2901367; Email: compliance@geojit.com. For Grievances: grievances@geojit.com. **Step 2:** If the resolution is unsatisfactory, the client can also lodge grievances through SEBI's SCORES platform at www.scores.sebi.gov.in. **Step 3:** The client may also consider the Online Dispute Resolution (ODR) through the Smart ODR portal at https://smartodr.in

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